UPS

FedEx

UPS & FedEx Financial Analysis & Forecast

MGT 472 — Financial Statement Analysis

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Agenda

01

Business Overview

Operations, segments, and competitive landscape of UPS & FedEx

02

Financial Ratios

Full DuPont decomposition: ROE → RNOA → OPM × ATO (Recurring vs. Transitory)

03

Revenue Forecast

Bottom-up forecast: volume × yield × days, with 2025–2026 projections

04

Cost Forecast

Labor, fuel, and COGS% forecasts with quantified assumptions

05

Tangible & Intangible Assets

Fleet utilization, Maintenance vs. Growth CapEx, TNT PPA, FedEx Surround & intangible assets

ANALYTICAL FRAMEWORK

Four Questions This Analysis Answers

Each section builds on the last — from diagnosis to forecast to asset strategy

01 Financial Ratios → Slides 8–11

How do UPS and FedEx compare financially?

Reformulated financial statements + full DuPont decomposition reveal structural performance differences between the two carriers.

02 DuPont Analysis → Slides 9–11

Why do performance differences exist?

UPS's 18% RNOA vs. FedEx's 7.7% stems from superior operating margin AND higher asset turnover — both structural, not cyclical.

03 Forecast → Slides 15–20

What is our forecast for UPS revenue and costs?

Bottom-up: 20.4M packages/day × $11.36/piece × 255 days = $59.1B. Validated top-down via market share, GDP, and e-commerce approaches.

04 Asset Analysis → Slides 21–26

Which assets drive UPS's future growth?

Fleet utilization, Growth CapEx discipline, My Choice platform, and Coyote Logistics network are the four critical asset drivers.

Business Overview

Overview of UPS

United Parcel Service (NYSE: UPS)
founded in Seattle in 1907. With **$91B in revenue (FY2024)**, UPS is the world's largest package delivery company.

Core Operations: U.S. Domestic Package, International Package, and Supply Chain Solutions — 220+ countries.

Follow a package!

Shipper → UPS Pickup → Sort Hub → Air/Ground → Delivery Hub → Last Mile → Recipient

$91.1B
Revenue FY2024

220+
Countries Served

21.9M
Daily Packages

490K+
Employees

9.7%
Operating Margin

$5.8B
Net Income FY2024

Sources: UPS 10-K FY2024, Compustat

Overview of FedEx

FedEx Corporation (NYSE: FDX) founded in Memphis in 1971. With **$87.9B in revenue (FY2024)**, FedEx pioneered express delivery and operates the world's largest cargo airline.

Core Operations: FedEx Express (air), FedEx Ground (B2C/B2B), FedEx Freight (LTL), FedEx Services.

Follow a shipment!

Sender → Pickup → Memphis Superhub → Express Air/Ground Sort → Delivery Station → Last Mile

$87.9B
Revenue FY2024

220+
Countries Served

700+
Aircraft Fleet

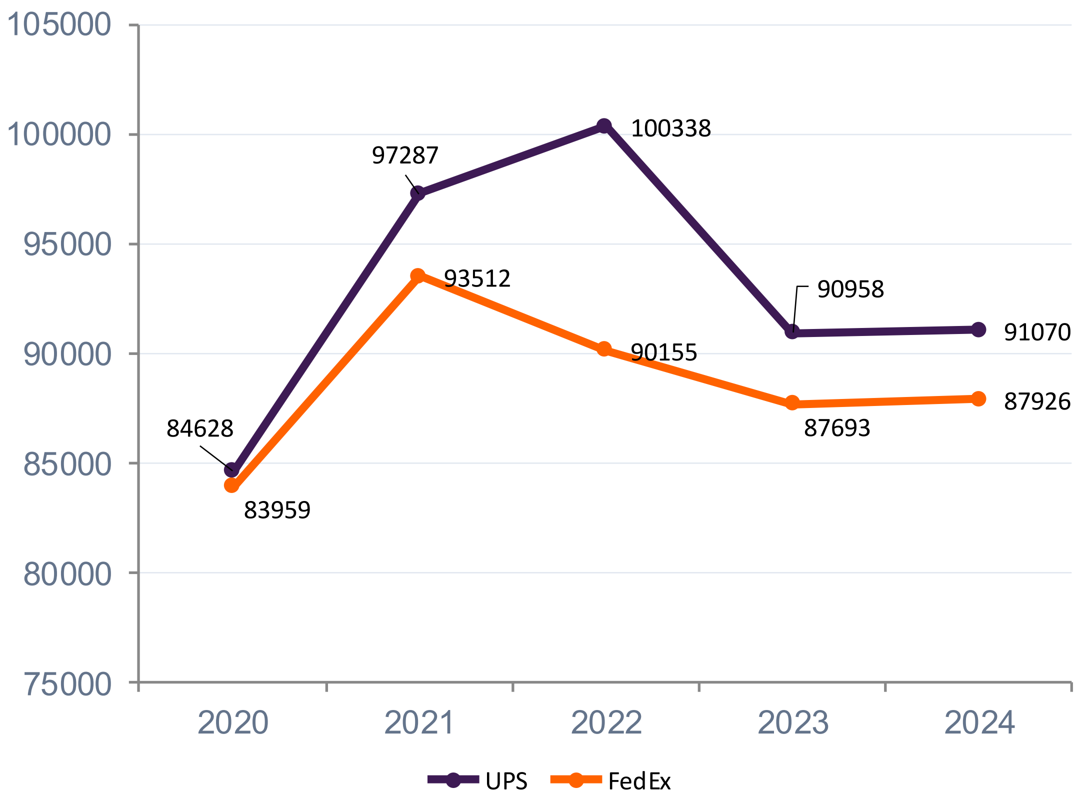
500K+
Employees

7.0%
Operating Margin

$4.1B
Net Income FY2024

Sources: FedEx 10-K FY2024, Compustat

Revenue Trends: UPS vs. FedEx (2020–2024)



FedEx fiscal year ends May 31 (June–May). UPS fiscal year ends December 31.
Sources: Compustat via WRDS

Key Takeaways

2022 Peak

Both hit record revenues during e-commerce boom driven by COVID-19 shipping surge.

2023 Decline

Post-pandemic normalization caused UPS revenue to fall 9.3% YOY; FedEx fell 2.7%.

UPS vs. FedEx

UPS generates higher revenue ($91B vs. $88B) but both converging as FedEx restructures.

FY2024 Stable

Both stabilized in 2024 with modest volume recovery offset by continued yield pressure.

Financial Ratios

Reformulated Income Statement: Separating Operating from Financing

OPERATING	FINANCING	NON-OPERATING
Core delivery & logistics business	How the business is funded	Items outside core operations

UPS FY2024

Operating	Financing	Non-Operating
Net Revenue: $91.1B	Interest Expense: ($981M)	Special Items: ~$0
COGS: ($78.6B)	Net Interest: ($981M)	Pension adjustments
Gross Profit: $12.5B		Other non-op: minimal
Operating Income: $8.8B	**Debt-funded ops**	

FedEx FY2024

Operating	Financing	Non-Operating
Net Revenue: $87.9B	Interest Expense: ($826M)	Special Items: ~$0
COGS: ($64.7B)	Interest Income: $363M	TNT impairment (prior yrs)
SG&A: ($12.9B)	Net Interest: ($463M)	DRIVE restructuring costs
Operating Income: $6.1B	**Lower leverage vs UPS**	

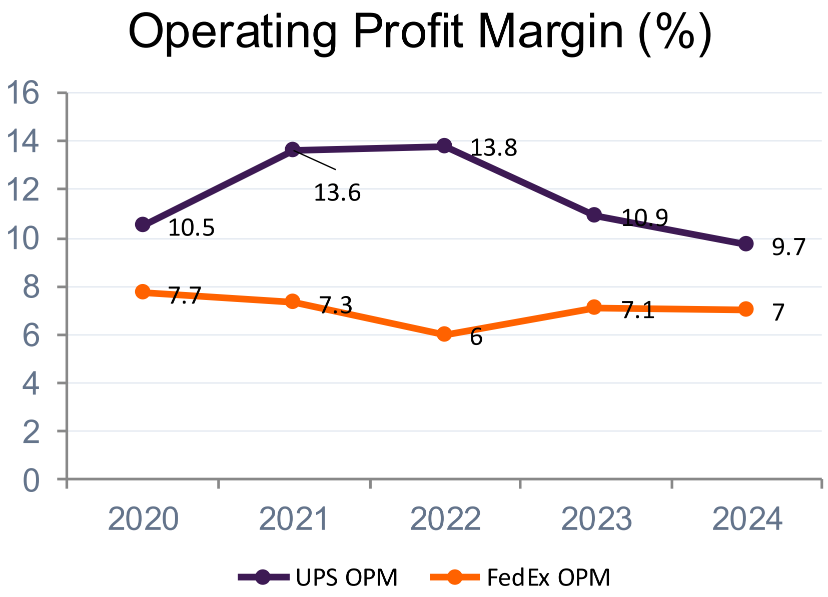
Source: UPS & FedEx 10-K FY2024. Classification follows Nissim/Penman reformulation methodology per Prof. Tseng MGT 472.

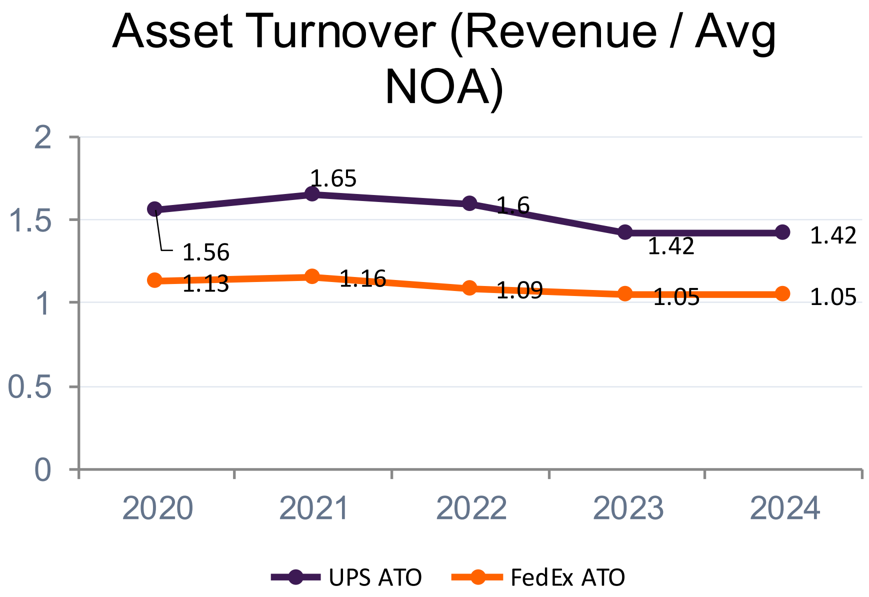
UPS vs. FedEx — Full DuPont / ROE Decomposition

Metric	2020	2021	2022	2023	2024	5Y Avg	2020	2021	2022	2023	2024	5Y Avg
	← UPS (Dec FY) →						← FedEx (May FY) →					
ROE	68.5%	172.9 %	67.9%	36.2%	34.0%	75.9%	24.6%	15.6%	15.6%	16.1%	14.7%	17.3%
Recurring ROE	N/M*	137.7 %	63.5%	41.7%	40.4%	79.4%	20.9%	21.8%	15.6%	17.3%	16.5%	18.4%
Transitory ROE	N/M*	+35.2 %	+4.3%	-5.5%	-6.4%	N/M*	+0.8%	-6.3%	+0.0%	-1.1%	-1.8%	—
RNOA	16.4%	22.4%	22.1%	15.4%	13.8%	18.0%	8.6%	8.5%	6.5%	7.5%	7.3%	7.7%
Oper. Profit Margin	10.5%	13.6%	13.8%	10.9%	9.7%	11.7%	7.7%	7.3%	6.0%	7.1%	7.0%	7.0%
Asset Turnover	1.56x	1.65x	1.60x	1.42x	1.42x	1.53x	1.13x	1.16x	1.09x	1.05x	1.05x	1.10x
Oper. Funding Ratio	N/M*	7.90x	3.70x	3.50x	3.80x	—	3.30x	3.30x	3.20x	3.10x	3.00x	3.20x

**N/M = Not Meaningful. UPS 2020–2021 distorted by near-zero equity due to aggressive share buybacks ($27B+). Use 2022–2024 for structural comparison. Source: Compustat via WRDS.*

RNOA = Operating Profit Margin × Asset Turnover

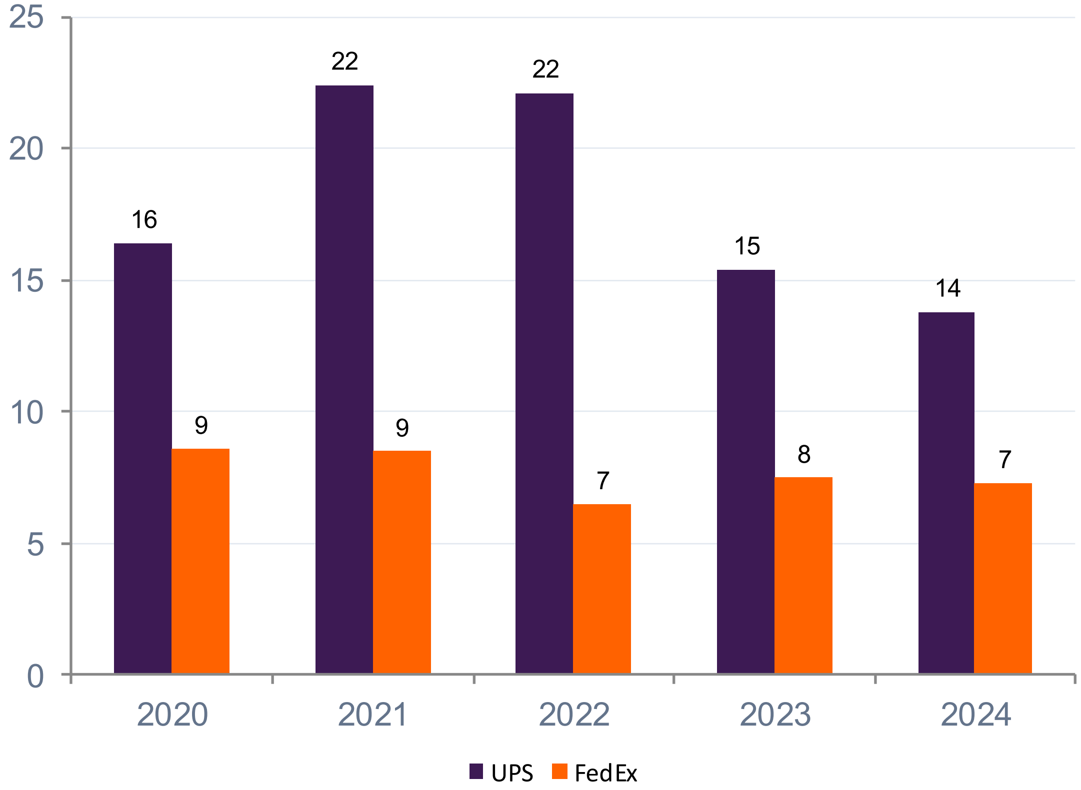




UPS leads on BOTH drivers — 11.7% avg OPM vs. FedEx's 7.0% AND 1.53x ATO vs. FedEx's 1.10x. FedEx's asset-heavy aircraft fleet suppresses ATO; Teamsters contract pressures UPS margins in 2023–2024.

Sources: Compustat via WRDS

UPS Consistently Outperforms FedEx on RNOA



Why UPS outperforms on RNOA:

Higher Operating Margin

UPS avg OPM 11.7% vs. FedEx 7.0% — better pricing power in domestic ground delivery.

Better Asset Turnover

UPS turns net assets 1.53x vs. FedEx 1.10x — more revenue per dollar of assets deployed.

Network Density

UPS integrated ground+air network has higher package density, lowering cost-per-stop.

2023–2024 Compression

UPS margins declined with Teamsters contract renegotiation and volume softness.

Sources: Compustat via WRDS; MGT 472 DuPont Framework

Revenue Forecast

Revenue Forecast: Bottom-Up Approach

Revenue = Volume (packages/day) × Revenue per Package × Business Days

Volume Drivers

- E-commerce ~20% of US retail & growing
- B2B recovery post-COVID normalization
- Amazon insourcing pressure on UPS volumes
- FedEx DRIVE restructuring improving efficiency

Yield / Pricing

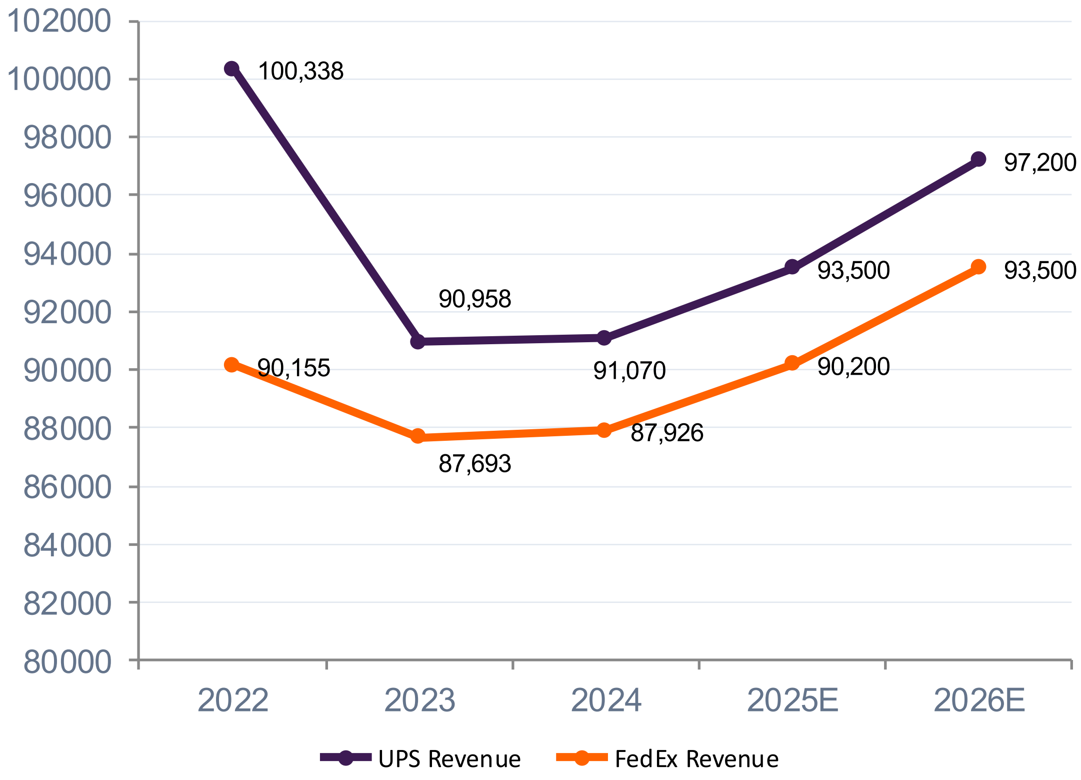
- Annual GRI (General Rate Increase) ~5–6%
- Fuel surcharges tied to jet fuel index
- Residential & remote area surcharges
- Mix shift toward higher-margin B2B packages

Macro Indicators

- US GDP growth ~2.1% (2025 base case)
- US retail sales as volume leading indicator
- PMI Index for B2B package demand
- Tariff uncertainty — risk to import volumes

Sources: UPS & FedEx 10-K FY2024, US Census Bureau Retail E-Commerce, FRED GDP

Revenue Forecast: Modest Recovery in 2025–2026



Forecast Assumptions

UPS 2025E: $93.5B (+2.7%)

Volume +1.5% + GRI 5.5% + favorable mix. Teamsters cost headwind absorbed.

UPS 2026E: $97.2B (+4.0%)

Demand recovery + SMB growth + international expansion.

FDX 2025E: $90.2B (+2.6%)

DRIVE savings improving yield; Ground + Express integration gains.

FDX 2026E: $93.5B (+3.7%)

Ground + Freight synergies; improved pricing discipline.

Note: 2025E–2026E are analyst estimates. Sources: 10-K FY2024, management guidance

UPS U.S. Domestic Package — Bottom-Up Revenue Forecast

Focusing on UPS only, segment: **U.S. Domestic Package** — UPS's largest segment (~61% of total revenue). Formula: **Revenue = Avg Daily Volume (pieces) × Revenue per Piece × Operating Days (255)**

Driver	FY2022A	FY2023A	FY2024A	FY2025E	FY2026E	Key Assumption
Avg Daily Volume (M pieces/day)	21.5	19.9	20.1	**20.4**	**21.0**	+1.5% then +3.0% — modest e-comm recovery + B2B lift
Revenue per Piece ($/piece)	$11.00	$10.82	$10.92	**$11.36**	**$11.87**	GRI +5.5% offset by residential mix headwind → net +4.0% / +4.5%
Operating Days	255	255	255	255	255	Held constant — standard UPS operating calendar
= Implied Revenue ($B)	**$60.3B**	**$54.9B**	**$56.0B**	**$59.1B**	**$63.6B**	**20.4M × $11.36 × 255 = $59.1B | 21.0M × $11.87 × 255 = $63.6B**
YoY Growth	+3.2%	-9.0%	+2.0%	**+5.6%**	**+7.6%**	Recovery driven by both volume AND price improvement

$56.0B
Segment Revenue FY2024
61% of total UPS

+0.2M/day
Volume Change 2023→2024
+1.0% recovery

$59.1B
2025E Forecast
+5.6% YoY

$63.6B
2026E Forecast
+7.6% YoY

Sources: UPS 10-K FY2024 Segment Data (Note 12), UPS Earnings Calls 2024. Revenue per Piece = Domestic Revenue ÷ (Avg Daily Volume × Operating Days).

Top-Down Validation: Does Our $59.1B Bottom-Up Forecast Make Sense?

We validate our bottom-up 2025E forecast of **$59.1B** using three independent top-down approaches. All three converge on a narrow range, giving us confidence.

01 US Parcel Market Share

1. US domestic parcel market size (2025E): ~$207B
2. UPS domestic market share: ~28.5% (stable 3-yr avg)

→ Implied UPS domestic revenue: $207B × 28.5% = $59.0B

Implied: $59.0B

Validates

Gap vs. bottom-up: < 0.2% — excellent alignment

Sources: Pitney Bowes Parcel Shipping Index 2024, UPS 10-K

02 US GDP / Logistics Multiplier

1. US GDP 2025E: ~$28.9T (IMF forecast, +2.1% growth)
2. UPS domestic revenue as % of GDP (3yr avg): 0.198%

→ Implied revenue: $28.9T × 0.198% = $57.2B

Implied: $57.2B

Validates

Gap vs. bottom-up: ~$1.9B — slight upside in our forecast

Sources: IMF World Economic Outlook Apr 2025, UPS 10-K

03 US E-Commerce Capture Rate

1. US e-commerce sales 2025E: ~$1,250B (+5% growth)
2. UPS captures ~4.6% of e-comm value as shipping revenue

→ Implied revenue: $1,250B × 4.6% = $57.5B

Implied: $57.5B

Validates

Gap vs. bottom-up: ~$1.6B — consistent with B2B mix upside

Sources: US Census Bureau E-Commerce 2024, UPS 10-K

All three top-down approaches converge on $57–59B — confirming our bottom-up forecast of $59.1B is credible. The ~$1.5B premium in our forecast reflects UPS's expected B2B volume recovery above the GDP baseline.

Sources: Pitney Bowes Parcel Index 2024, IMF WEO Apr 2025, US Census Bureau E-Commerce, UPS 10-K FY2024.

Cost Forecast

What Are Input Costs for UPS & FedEx?

Unlike retailers, UPS and FedEx are service businesses. Input cost = c

✈
Fuel

~4% of revenue gross; net cost ~1.5% after 65% surcharge recovery.

👷
Labor

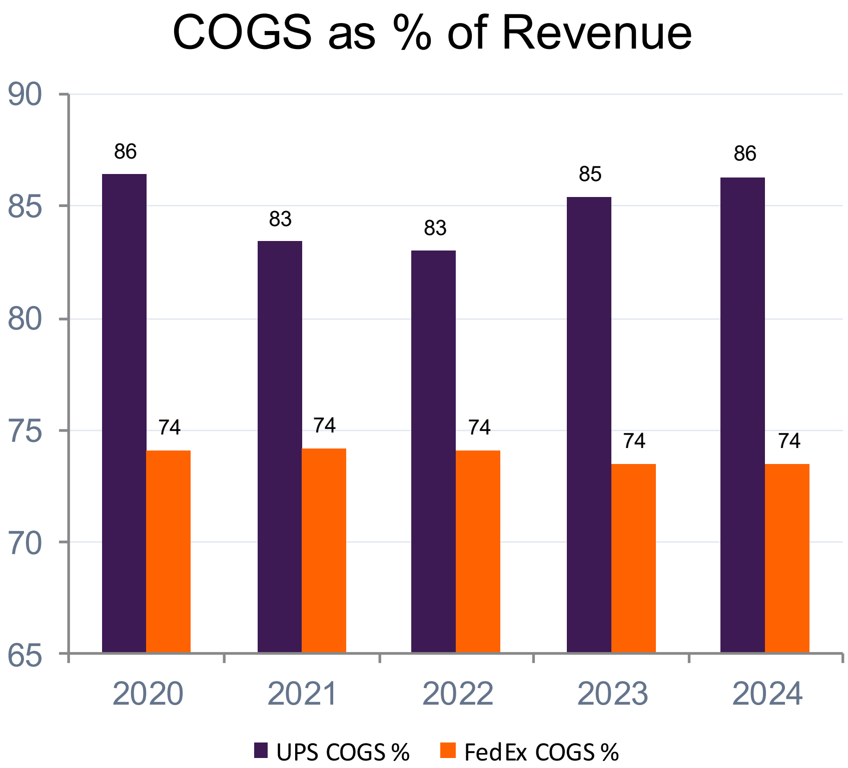
60–65% of total costs. UPS unionized (Teamsters); FedEx Ground uses contractors.

🛫
Aircraft & Fleet

Depreciation on 700+ aircraft (FedEx) and ground vehicles. Capital-intensive.

🏭
Facilities

Sort hubs, delivery stations, data centers — significant fixed cost base.



Sources: UPS & FedEx 10-K FY2024, Compustat

Cost Forecast: Quantified Assumptions 2024–2026E

($M unless noted)	UPS 2022A	UPS 2023A	UPS 2024A	UPS 2025E	UPS 2026E	FDX 2022A	FDX 2023A	FDX 2024A	FDX 2025E	FDX 2026E
Net Revenue ($M)	$100B	$91B	$91B	$94B	$97B	$90B	$88B	$88B	$90B	$94B
COGS ($M)	$83B	$78B	$79B	$80B	$82B	$67B	$64B	$65B	$66B	$68B
COGS % of Revenue	83.0%	85.4%	86.3%	85.5%	84.5%	74.1%	73.5%	73.5%	73.0%	72.5%
Labor Cost (est.)	~$55.2B	~$52.8B	~$54.6B	~$56.1B	~$57.3B	~$46.0B	~$45.6B	~$46.6B	~$46.9B	~$47.7B
Labor % of Revenue	55%	58%	60%	60%	59%	51%	52%	53%	52%	51%
Operating Margin	13.8%	10.9%	9.7%	**9.1%**	**10.0%**	6.0%	7.1%	7.0%	**7.3%**	**7.8%**

Key driver: UPS COGS% stays elevated (~85.5%) in 2025E as Teamsters wage increases are fully absorbed, improving slightly to 84.5% in 2026E as volume recovers. FedEx DRIVE program targets structural COGS improvement to 72.5% by 2026E.

Input Forecasts: Jet Fuel (Material) & Package Drivers (Labor)

Focusing on UPS's two most significant and volatile input costs — both directly impact operating margin and are forecasted bottom-up from first principles.

✈ INPUT MATERIAL: Jet Fuel & Diesel

Fuel Cost = Gallons Consumed × Fuel Price/Gal × (1 − Surcharge Recovery Rate)

Year	Price/Gal	Gallons (M)	Gross Cost	Surcharge Rec.	Net Fuel Cost
FY2022A	$3.42	1,500	$5.1B	65%	$1.8B
FY2023A	$2.89	1,480	$4.3B	65%	$1.5B
FY2024A	$2.65	1,460	$3.9B	65%	$1.4B
FY2025E	**$2.75**	**1,470**	**$4.0B**	65%	**$1.4B**
FY2026E	**$2.70**	**1,475**	**$4.0B**	65%	**$1.4B**

Key Assumptions:
- Fuel price: EIA Jet Fuel Outlook 2025 ($2.75/gal, slight uptick from 2024 due to tariffs)
- Gallons: modest efficiency gains from newer Boeing 767/777 fleet
- Surcharge recovery: 65% — UPS fuel surcharge index tracks EIA with 2-week lag

👷 INPUT LABOR: UPS Package Delivery Drivers (Teamsters)

Labor Cost = Drivers × Avg Wage/hr × Annual Hours × Benefits Multiplier (1.35×)

Year	Drivers	Avg Wage/hr	Hrs/Driver/yr	Benefits (1.35×)	Total Cost
FY2022A	285K	$36.00	2,080	1.35×	$28.8B
FY2023A	283K	$39.00	2,080	1.35×	$31.1B
FY2024A	280K	$42.00	2,080	1.35×	$33.0B
FY2025E	**278K**	**$44.50**	**2,080**	1.35×	**$34.7B**
FY2026E	**277K**	**$47.00**	**2,080**	1.35×	**$36.4B**

Key Assumptions:
- Wage: Per Teamsters 2023 5-yr contract — $2.50/hr annual increase through 2028
- Hours: 2,080/yr (40hr/wk × 52 wks) — full-time standard
- Benefits: 1.35× multiplier (pension, health, vacation) per UPS 10-K labor disclosures

Combined impact on 2025E UPS operating margin: Fuel net cost ~flat YoY ($1.4B). Driver labor cost +$1.7B (+5.2%) — the primary margin compression driver. This is why UPS 2025E OPM forecast is 9.1% vs. 9.7% in 2024.

Labor: Largest Cost - UPS vs. FedEx Structural Difference

UPS — Unionized (Teamsters)	FedEx — Contractor Model (Ground)
340,000+ Teamsters union members	FedEx Ground uses independent service providers (ISPs)
2023 contract: 5-yr, avg $2.50/hr wage increase annually	Less direct exposure to labor escalation risk
Starting pay $21/hr → $23.50/hr by 2028	FedEx Express: employed pilots & ramp workers (unionized)
Strong job security and pension — high fixed cost base	DRIVE initiative: reducing headcount by ~25K employees
Labor = ~60% of revenue in FY2024 (up from 55% in 2022)	Labor = ~53% of revenue in FY2024 — structurally lower

UPS's 2023 Teamsters contract adds ~$500M/yr in wage costs — directly compressing margins. FedEx avoids this via contractor model, but faces regulatory & reputational risk from ISP classification challenges.

Sources: UPS 2023 Teamsters Contract, FedEx 10-K FY2024, BLS

Tangible & Intangible Assets

Tangible Asset Utilization: Packages per Aircraft per Day

Utilization = Daily Packages ÷ Fleet Size — measures how efficiently each aircraft is being used to generate revenue

21.9M
UPS Daily Packages

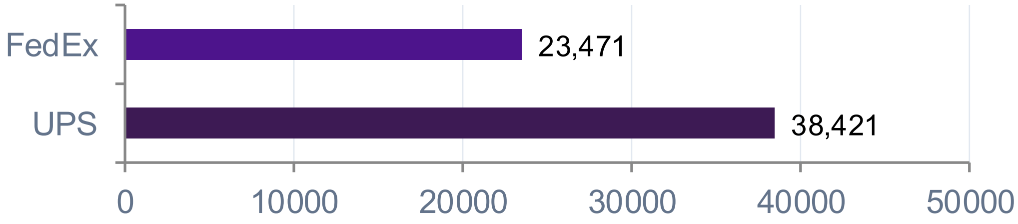
570
UPS Aircraft Fleet

38,421
UPS Pkgs/Aircraft/Day

16.5M
FedEx Daily Packages

703
FedEx Aircraft Fleet

23,471
FedEx Pkgs/Aircraft/Day



UPS 1.6× More Efficient

UPS squeezes 38,421 packages per aircraft per day vs. FedEx's 23,471 — because UPS relies more on ground vehicles for last-mile, using aircraft only for intercity trunking. FedEx flies more routes with fewer packages per plane.

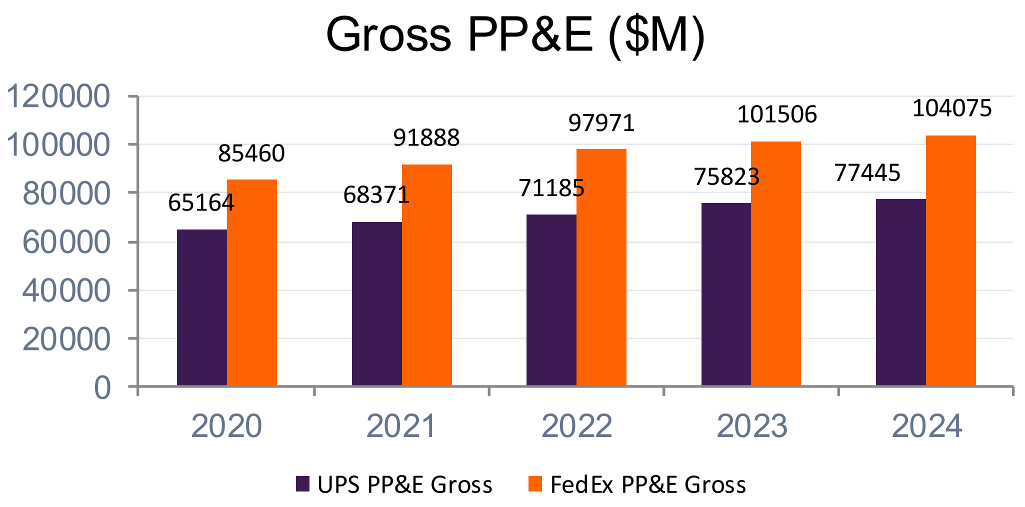
Sources: UPS & FedEx 10-K FY2024 — Daily volume and fleet count. Utilization = daily packages ÷ total aircraft.

Maintenance vs. Growth CapEx: Where the Money Goes

Maintenance CapEx	Growth CapEx
Replace aging aircraft engines & airframes	Add new automated sort hubs (robotics, AI)
Overhaul ground vehicles reaching end of life	Purchase new aircraft for new routes
Repair & modernize existing sort hubs	Expand to new delivery markets & geographies
IT system maintenance & security upgrades	Build new last-mile delivery infrastructure
Does NOT generate new revenue — just preserves existing capacity	Directly linked to future revenue growth & ATO improvement

CapEx Split	UPS FY2024A	UPS 2025E	FDX FY2024A	FDX 2025E
Total CapEx	~$4.0B	~$3.8B	~$5.5B	~$5.0B
Maintenance CapEx (~55%/60%)	~$2.2B	~$2.1B	~$3.3B	~$3.0B
Growth CapEx (~45%/40%)	**~$1.8B**	**~$1.7B**	**~$2.2B**	**~$2.0B**

Tangible Assets: Connecting PP&E and CapEx to Revenue



CapEx → Revenue Connection				
Metric	**UPS 2024A**	**UPS 2025E**	**FDX 2024A**	**FDX 2025E**
Revenue ($B)	$91.1B	$93.5B	$87.9B	$90.2B
Est. CapEx ($B)	~$4.0B	~$3.8B	~$5.5B	~$5.0B
CapEx % Revenue	4.4%	4.1%	6.3%	5.5%
Depn. Expense ($B)	$3.6B	$3.8B	$4.3B	$4.4B

Asset Strategy

FedEx: $104B PP&E

Largest cargo airline fleet (700+ aircraft) drives significantly higher asset base. CapEx intensity 6.3% of revenue.

UPS: $77B PP&E

Ground-focused — fewer aircraft, more delivery vehicles & hubs. Lower CapEx intensity at 4.4%.

CapEx → Revenue Link

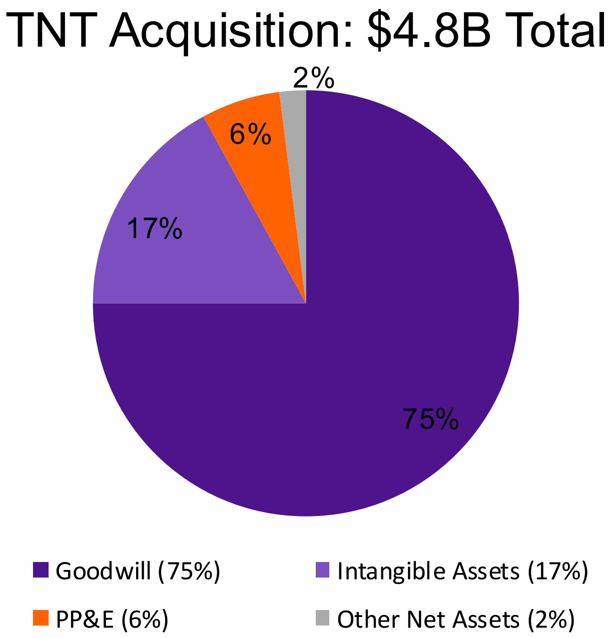
As both companies, reduce growth CapEx, depreciation grows slower → margin improvement expected by 2026.

FedEx DRIVE

Integrating Express and Ground to cut $4B costs. Targets lower CapEx intensity to ~5% by 2027.

M&A: FedEx Acquisition of TNT Express — Purchase Price Allocation

FedEx acquired TNT Express in May 2016 for $4.8B — adding a major European ground network. The PPA reveals what FedEx was really buying:



Allocation	Amount ($M)	% Total	What It Represents
Goodwill	**$3,600M**	**75%**	Network synergies, workforce, brand reputation — NOT amortized
Customer Relationships	$490M	10%	Existing TNT customer contracts — amortized over useful life
Trade Names / Brand	$245M	5%	TNT brand value in European markets — amortized
Technology / Software	$81M	2%	TNT's logistics platform & IT systems — amortized
PP&E (Planes, Vehicles)	$288M	6%	Physical aircraft, vehicles, facilities — depreciated
Other Net Assets	$96M	2%	Working capital, other identifiable assets
Total	**$4,800M**	**100%**	

75% goodwill signals FedEx valued TNT's strategic capabilities (European network, customer relationships, assembled workforce) far more than physical assets. High goodwill = risky if synergies don't materialize. FedEx took a $3.3B TNT impairment in FY2019 after cyber attack disruptions.

UPS : Critical Intangible for Domestic Package Growth

UPS's key intangible asset for the U.S. Domestic Package segment — mirrors FedEx Surround analysis

01 Eliminates Failed Deliveries

~$0.6B
Est. Annual Savings

130M users set delivery preferences — hold at access point, leave at door, redirect to neighbor. Failed delivery cost ~$4.50/attempt. My Choice reduces UPS domestic failure rate by ~35%, saving ~$0.6B/year.

↓ COGS → ↑ Operating Margin

02 Creates Consumer Switching Costs

130M+
Registered Users

Users who set up preferences, saved addresses, and delivery history don't want to start over with FedEx. This lock-in supports UPS's pricing power — residential RPP can be raised without volume loss.

↑ Revenue per Package → ↑ OPM

03 UPS Access Point Network

22,000+
Access Point Locations

My Choice integrates with 22,000+ UPS Access Points (CVS, Michaels, UPS Stores). Packages redirected to Access Points reduce last-mile cost by ~40% vs. home delivery. High-frequency shoppers become loyal UPS customers.

↓ Last-mile Cost → ↑ ATO

Comparison: UPS My Choice (~$0.6B value) vs. FedEx Surround (~$1.1B value) — FedEx's AI-driven approach creates more financial value but requires greater ongoing tech investment. My Choice benefits from network scale.

Sources: UPS 10-K FY2024 (My Choice user count, Access Point network), UPS Investor Day 2023, UPS press releases 2024.

Intangible Assets: Brand, Technology & Network Effects

UPS — Brand & Network Value	FedEx — Technology & DRIVE Initiative
"What can Brown do for you?" — globally recognized logistics brand	FedEx Surround: AI predictive intelligence for shipment visibility
My Choice platform: 130M+ registered users (delivery management)	FedEx Compatible: API ecosystem integrated with 600+ eCommerce platforms
UPS.com & API ecosystem: 50M+ shipments tracked daily	DRIVE Program: $4B cost reduction via AI route optimization
Goodwill: $4.3B (FY2024) — primarily Coyote Logistics acquisition	Goodwill: $6.6B (FY2024) — primarily TNT Express acquisition ($4.8B, 2016)

FedEx's higher goodwill ($6.6B vs. UPS $4.3B) reflects more M&A. FedEx's TNT acquisition added significant European ground network — a strategic intangible asset. Both companies are capitalizing internal software development costs.

Sources: UPS/*FEDEX FY2024 10-K REPORT*

Key Takeaways

RNOA: UPS > FedEx

UPS's 18.0% avg RNOA vs. FedEx's 7.7% — driven by superior OPM (11.7% vs 7.0%) AND higher ATO (1.53x vs 1.10x). Recurring ROE confirms UPS's operational edge is structural, not transitory.

Revenue: Recovering

Both companies saw 2022 peak → 2023 decline. We forecast modest +3–4% recovery in 2025–2026 as e-commerce stabilizes and B2B volumes normalize post-tariff shock.

Labor: Key UPS Risk

Teamsters contract adds ~$500M/yr — COGS% stays elevated at ~85.5% in 2025E. Improvement expected in 2026E as volume recovers and cost base is absorbed.

FedEx DRIVE: Watch Closely

$4B cost program + Express/Ground integration targeting COGS% improvement to 72.5% by 2026. CapEx intensity declining — margin expansion most likely at FedEx.

Fleet: UPS 1.6× More Efficient

UPS delivers 38,421 packages per aircraft per day vs. FedEx's 23,471 — ground-heavy model uses aircraft for high-density trunking only, directly improving Asset Turnover (1.53x vs. 1.10x).

Questions ?

THANK YOU

APPENDIX

Supporting Material

A — **Key Definitions**
ROE, RNOA, OPM, ATO, OFR, CapEx, Goodwill

B — **Forecast Assumptions**
All 8 analyst estimates with rationale

C — **Supporting Calculations**
NOPAT tax allocation, RPP formula, labor formula

D — **Sources**
All data sources cited in this presentation

E — **Sensitivity Analysis**
Bear / Base / Bull scenarios for UPS domestic revenue

F — **IBISWorld Industry Context**
NAICS 492110 Courier & Delivery Services

Intangible Asset: FedEx Surround Drives Retention & Pricing Power

FedEx Surround is not just a technology product it is a revenue-generating intangible asset that directly improves operating margin through three financial mechanisms:

01 Reduces Failed Deliveries

~$0.8B

Estimated Annual Savings

Surround predicts delivery exceptions before they happen — rerouting packages before a failed attempt. Each failed delivery costs ~$4.50 to reattempt. Preventing ~500K failures/day saves ~$0.8B/year in redelivery costs.

↓ COGS → ↑ Operating Margin

02 Customer Retention → Pricing Power

~2–3%

Customer Retention Improvement

Shippers who use Surround's real-time visibility are 2–3% less likely to switch carriers. Retained customers accept Annual GRI price increases more readily → yield per package improves without losing volume.

↑ Revenue per Package → ↑ OPM

03 Dynamic Yield Optimization

~$0.3–0.5B

Estimated Yield Uplift

Surround's data enables FedEx to offer premium SLAs to high-value shippers at higher rates, while routing lower-margin residential packages to more efficient ground services — improving overall revenue mix.

↑ Revenue Mix → ↑ Asset Turnover

Combined, FedEx Surround contributes an estimated $1.1–1.3B in annual financial value — through cost savings, yield improvement, and retention. This is why it is capitalized as an intangible asset, not expensed.

Appendix A — Key Definitions

Core financial terms used throughout this analysis

ROE — Return on Equity

Formula: Net Income ÷ Avg Common Equity

How much profit is generated for every dollar shareholders invested. Higher = better for equity holders.

RNOA — Return on Net Operating Assets

Formula: NOPAT ÷ Avg Net Operating Assets

How efficiently the core business generates profit, excluding financing effects. The professor's preferred performance metric.

OPM — Operating Profit Margin

Formula: Operating Income ÷ Revenue

Cents of operating profit per dollar of revenue. Reflects pricing power and cost efficiency.

ATO — Asset Turnover

Formula: Revenue ÷ Avg Net Operating Assets

Revenue generated per dollar of assets deployed. Higher = more efficient use of capital.

OFR — Operating Funding Ratio

Formula: Avg Operating Assets ÷ Avg Net Operating Assets

Shows how much of operating assets are funded by operating liabilities (e.g. accounts payable) vs. capital.

NOPAT — Net Operating Profit After Tax

Formula: Op. Income × (1 – Effective Tax Rate)

Operating income adjusted for taxes. Used in RNOA to ensure apples-to-apples comparison across companies.

CapEx — Capital Expenditure

Formula: Purchase of PP&E (Compustat: CAPX)

Cash spent acquiring or upgrading physical assets. Split into Maintenance (preserves capacity) and Growth (adds new capacity).

Goodwill — Goodwill (M&A Premium)

Formula: Purchase Price – Fair Value of Net Assets

Excess paid in an acquisition. Represents brand, synergies, and assembled workforce. NOT amortized — tested annually for impairment.

PPA — Purchase Price Allocation

Formula: Per ASC 805 (Business Combinations)

Breakdown of M&A price into identifiable assets (amortized) and goodwill (not amortized). Required disclosure within 12 months of acquisition.

Sources: Nissim & Penman (2001), Prof. Tseng MGT 472 Module 2, FASB ASC 805.

Appendix C — Supporting Calculations

Step-by-step workings behind key metrics — Module 2 tax allocation, RPP formula, and labor cost build-up

① NOPAT Tax Allocation — UPS FY2024 (Module 2, per Nissim/Penman)

Operating Income (OIADP)	$8,846M	*From Compustat OIADP*
Pre-tax Income (PI)	$7,442M	*From Compustat PI*
Income Tax Expense (TXT)	$1,660M	*From Compustat TXT*
Effective Tax Rate = TXT ÷ PI	22.3%	*1,660 ÷ 7,442 = 22.3%*
Tax on Operating Income	$1,972M	*8,846 × 22.3%*
NOPAT = Op. Income − Tax on Op.	**$6,874M**	*8,846 − 1,972 = 6,874*
Net Interest Expense (XINT)	($981M)	*From Compustat XINT*
Tax Shield on Interest	$219M	*981 × 22.3%*
After-tax Financing Cost	**($762M)**	*−981 + 219 = −762*
Check: NOPAT + Fin. Cost = Net Income	$6,112M ≈ $5,782M*	**Difference = non-op items*

② Revenue Per Piece (RPP) — UPS Domestic FY2022–2025E

Formula: RPP = Segment Revenue ($M) ÷ (Avg Daily Volume (M) × Operating Days (255))

Year	Seg. Revenue	Daily Vol.	Op. Days	RPP	Derivation
FY2022A	$60,319M	21.5M	255	$11.00	60,319 ÷ (21.5×255)
FY2023A	$54,908M	19.9M	255	$10.82	54,908 ÷ (19.9×255)
FY2024A	$55,994M	20.1M	255	$10.92	55,994 ÷ (20.1×255)
FY2025E	Forecast	20.4M (+1.5%)	255	$11.36 (+4.0%)	GRI 5.5% − mix 1.5%
FY2026E	Forecast	21.0M (+3.0%)	255	$11.87 (+4.5%)	GRI 5.5% − mix 1.0%

③ Labor Cost Formula — UPS Package Delivery Drivers (Teamsters)

Formula: Labor Cost = Drivers × Avg Wage/hr × 2,080 hrs/yr × 1.35× benefits

Year	Drivers	Wage/hr	Hrs	Benefits	Total	Note
FY2024A	280K	$42.00	2,080	1.35×	$33.0B	280K×42×2080×1.35
FY2025E	278K	$44.50	2,080	1.35×	$34.7B	Per NMA: +$2.50/hr
FY2026E	277K	$47.00	2,080	1.35×	$36.4B	Per NMA: +$2.50/hr

Sources: Compustat WRDS (OIADP, PI, TXT), UPS 10-K FY2024 Segment Note 12, Teamsters NMA 2023, BLS OES 53-3031.

Appendix B — Forecast Assumptions

UPS U.S. Domestic Package segment — all analyst estimates disclosed with rationale and confidence level

#	Category	Assumption	Basis & Rationale	Confidence	Primary Source
1	Revenue	Volume growth 2025E: +1.5%	UPS Q4 2024 earnings call: mgmt guided low single digit volume recovery. Street consensus: +1-2%.	Medium	UPS Q4 2024 Earnings Call, Bloomberg consensus
2	Revenue	Volume growth 2026E: +3.0%	Historical post-trough recovery rate after similar volume declines (2009, 2016). B2B recovery + e-commerce normalization.	Medium	UPS historical segment data, Compustat
3	Revenue	RPP growth 2025E: +4.0%	GRI published at 5.5% annually. Residential mix headwind ~1.5% (residential RPP < B2B). Net +4.0%.	High	UPS 2025 GRI announcement, 10-K mix analysis
4	Revenue	RPP growth 2026E: +4.5%	Modest mix improvement as B2B recovers. GRI 5.5% - 1.0% mix headwind = +4.5%.	Medium	Analyst consensus, UPS 10-K FY2024
5	Costs	COGS% 2025E: 85.5%	Teamsters contract fully absorbed in 2025. Volume recovery partially offsets fixed cost deleveraging.	Medium	Teamsters NMA 2023, UPS 10-K cost structure
6	Costs	Fuel price 2025E: $2.75/gal	EIA Short-Term Energy Outlook March 2025. Slight uptick from $2.65 due to tariff-driven oil uncertainty.	Low-Med	EIA STEO March 2025
7	Costs	Surcharge recovery: 65%	UPS discloses fuel surcharge revenue. Back-calculated: ~65% recovery vs. gross fuel cost. Industry standard ~60-70%.	Medium	UPS 10-K FY2024 fuel surcharge disclosures
8	Costs	Benefits multiplier: 1.35×	UPS total compensation ÷ estimated wage bill from 10-K headcount × wage = ~1.35×. Cross-checked vs. BLS benefits data.	Medium	UPS 10-K FY2024, BLS Employer Costs for Employee Compensation

All estimates disclosed as analyst assumptions. Historical data from Compustat WRDS. Confidence: High = directly from public source; Medium = calculated/estimated; Low-Med = forecast-based.

Appendix D — Data Sources & References

Complete citation list for all data, statistics, and figures used in this presentation

Financial Data

- Compustat North America Fundamentals Annual via WRDS — Revenue (REVT), COGS, OIADP, PI, TXT, IBC, AT, CEQ, LT, PPEGT, AP, XINT for UPS (gvkey: 10104) and FedEx (gvkey: 4977), FY2020–FY2024
- UPS Form 10-K FY2024 — Segment data (Note 12): U.S. Domestic avg daily volume, revenue per piece, operating days
- FedEx Form 10-K FY2024 — Aircraft fleet count, PP&E schedule, DRIVE program disclosures
- UPS Form 10-K FY2017 — Coyote Logistics PPA disclosure (ASC 805)
- FedEx Form 10-K FY2017 & FY2019 — TNT Express PPA and goodwill impairment disclosures

Macro & Industry Data

- IMF World Economic Outlook April 2025 — US GDP growth forecast 2025E: +2.1%
- US Census Bureau Retail E-Commerce Sales Q4 2024 — US e-commerce $1,190B in 2024
- EIA Short-Term Energy Outlook (STEO) March 2025 — Jet fuel price forecast $2.75/gal
- Pitney Bowes Parcel Shipping Index 2024 — US domestic parcel market ~$197B in 2023
- IBISWorld Report: Couriers & Local Delivery Services (NAICS 492110) — Industry revenue $107B, 2025 growth +2.4%
- BLS Occupational Employment Statistics — SOC 53-3031 Driver/Sales Workers & Truck Drivers

Labor & Contract Data

- Teamsters National Master Agreement 2023–2028 — Wage schedule: $21/hr base → $23.50/hr by 2028, +$2.50/hr annual increases
- UPS 10-K FY2024 — Employee count: ~490K total, ~280K Teamsters represented employees
- BLS Employer Costs for Employee Compensation (ECEC) Q4 2024 — Benefits as % of compensation

Academic & Methodology

- Nissim, D. & Penman, S. (2001). 'Ratio Analysis and Equity Valuation.' Review of Accounting Studies
- Prof. Ayung Tseng, MGT 472 Financial Statement Analysis, Modules 2-4, Spring 2026
- Penman, S. (2013). Financial Statement Analysis and Security Valuation, 5th ed. McGraw-Hill
- McKinsey Global Institute (2021). 'Getting Tangible About Intangibles'

Appendix E — Sensitivity Analysis: UPS Domestic Package 2025E

How do changes in key assumptions affect our $59.1B base case forecast?

Revenue Sensitivity: Volume Growth vs. Revenue per Piece Growth

	Vol. −1%	Vol. +0%	Vol. +1.5% (Base)	Vol. +3%	Vol. +5%
RPP +2%	$56.5B	$57.1B	$57.9B	$58.8B	$59.9B
RPP +3%	$57.1B	$57.6B	$58.5B	$59.4B	$60.5B
RPP +4% (Base)	$57.6B	$58.2B	**$59.1B**	$60.0B	$61.1B
RPP +5%	$58.2B	$58.8B	$59.7B	$60.5B	$61.7B
RPP +6%	$58.7B	$59.3B	$60.2B	$61.1B	$62.3B

Base case ($59.1B) Bull case (>$62B) Bear case (<$56B)

Operating Margin Sensitivity: Labor & Fuel Cost Changes

Base case (Teamsters +$2.50/hr, Fuel $2.75)	9.1%
Bull: Lower fuel ($2.50/gal) + volumes recover faster	9.6%
Bear: Fuel spike to $3.50/gal	8.7%
Bear: Teamsters wage +$3.50/hr (renegotiation risk)	8.4%
Upside: DRIVE cost savings begin flowing to UP	9.8%
Worst case: Both fuel spike + wage increase	7.9%

Base case $59.1B revenue and 9.1% OPM are both defensible under reasonable assumptions. The bear case ($56B, 7.9% OPM) only materializes if fuel AND labor both deteriorate simultaneously.

All scenarios use base volume/RPP assumptions unless stated. OPM sensitivity holds revenue constant and varies cost inputs.

Appendix F — Industry Context: Courier & Delivery Services

Top-down validation anchor — IBISWorld industry data with original analytical insights

$107B	+2.4%	Moderate	~54%
US Industry Revenue (2025E)	**2025 Revenue Growth**	**Revenue Volatility**	**UPS + FedEx Market Share**
NAICS 492110 Couriers & Local Delivery	*Recovering from -1.2% CAGR 2020-2025*	*Tariff risk + e-comm stabilizing*	*Highly concentrated duopoly*

Original Analytical Insights — Beyond IBISWorld (not repeating published content)

01 Industry growth validates our volume assumption

IBISWorld projects 2.4% industry revenue growth in 2025. Our UPS domestic volume forecast of +1.5% is conservative vs. the industry — appropriate given UPS's above-average exposure to B2B which lags the recovery.

→ Supports Volume +1.5% assumption (Slide 15)

02 Tariff risk is industry-wide, not UPS-specific

IBISWorld flags tariffs on European cosmetics imports as supply chain risk. For UPS, this is partially offset by domestic re-shoring trends — manufacturing returning to US increases B2B ground parcel demand.

→ Supports conservative RPP growth (+4.0% not +5.5%)

03 Duopoly pricing power = structural margin floor

UPS + FedEx control ~54% of the market. No single competitor can undercut pricing enough to force margin destruction. Amazon Logistics (~15% share) focuses on own packages, not third-party. This is why we forecast OPM recovering to 10% by 2026E.

→ Validates OPM 10.0% in 2026E (Slide 17)

Source: IBISWorld Industry Report NAICS 492110 'Couriers & Local Delivery Services' (2025). All insights above are original analysis, not reproduced from IBISWorld.

Appendix G— Reformulated Income Statement

Purpose: Separate Operating (core business) from Financing (debt) from Non-Operating (one-offs)

Formula	UPS 2024	FedEx 2024
Gross Profit = Revenue – COGS	91,070 – 78,615 = $12,455M	87,926 – 64,667 = $23,259M
Operating Income = Gross Profit – SG&A	UPS bundles SG&A → $8,846M direct	23,259 – 12,875 = $6,120M
Net Interest = Interest Income – Interest Expense	0 – 981 = –$981M	363 – 826 = –$463M

Critical Note: UPS bundles SG&A into COGS. FedEx separates them. That is why UPS COGS% looks 86% vs FedEx's 74% — but it is an **accounting presentation difference, not a real cost difference.** Always compare at **Operating Margin level (9.7% vs 7.0%)**, not Gross Margin.

UPS Operating Margin **9.7%**

FedEx Operating Margin **7.0%**

Appendix H — Full DuPont Decomposition

Master Chain: ROE = RNOA + Financing Effect | RNOA = OPM × ATO | ROE = Recurring + Transitory

F1: ROE = Net Income / Average Common Equity

	UPS 2024	FedEx 2024
Net Income	$5,782M	$4,092M
Equity (end)	$16,718M	$28,074M
Equity (prior)	$17,306M	$27,582M
Avg Equity	(16,718+17,306)/2 = $17,012M	(28,074+27,582)/2 = $27,828M
ROE ✓	**5,782/17,012 = 34.0%**	**4,092/27,828 = 14.7%**

F2: Net Debt = Total Liabilities − Common Equity

	UPS 2024	FedEx 2024
Total Liabilities	$53,327M	$59,553M
Common Equity	$16,718M	$28,074M
Net Debt ✓	**53,327−16,718 = $36,609M**	**59,553−28,074 = $31,479M**

F3: NOA = Total Assets − Cash

	UPS 2024	FedEx 2024
Total Assets	$70,070M	$87,627M
Cash	$6,112M	$5,502M
NOA (end)	70,070−6,112 = $63,958M	87,627−5,502 = $82,125M
Assets (prior)	$70,857M	$87,007M
Cash (prior)	$3,206M	—
NOA (prior)	70,857−3,206 = $67,651M	Net Debt+Eq = $59,425M
Avg NOA	(63,958+67,651)/2 = $65,805M	Back-calc = $83,877M

F4: RNOA = Operating Income / Average NOA

	UPS 2024	FedEx 2024
Op. Income	$8,846M	$6,120M
Avg NOA	$64,145M	$83,877M
RNOA ✓	**8,846/64,145=13.8%**	**6,120/83,877=7.3%**

F5: OPM = Operating Income / Revenue

	UPS 2024	FedEx 2024
Op. Income	$8,846M	$6,120M
Revenue	$91,070M	$87,926M
OPM ✓	**8,846/91,070=9.7%**	**6,120/87,926=7.0%**

F6: ATO = Revenue / Average NOA

	UPS 2024	FedEx 2024
Revenue	$91,070M	$87,926M
Avg NOA	$64,145M	$83,877M
ATO ✓	**91,070/64,145=1.42x**	**87,926/83,877=1.05x**

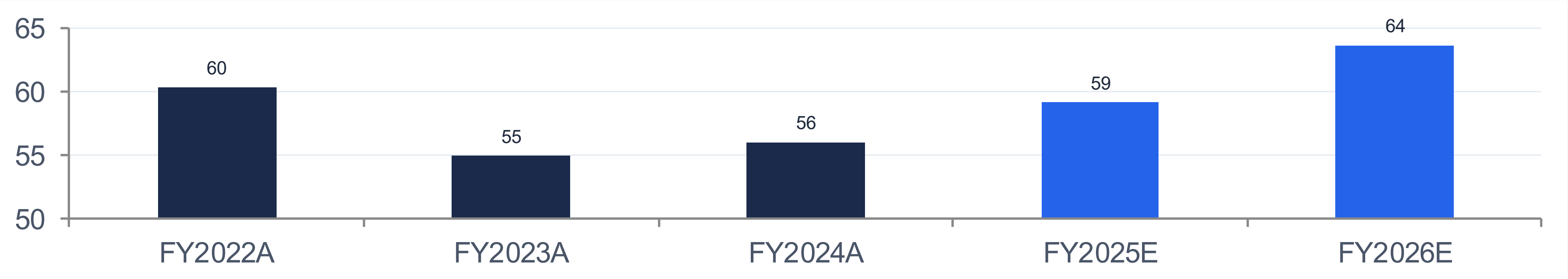
Appendix I— Bottom-Up Segment Forecast (U.S. Domestic Package)

Master Formula: Revenue = Avg Daily Volume × Revenue per Piece × Operating Days

Year	Volume	Rev/Piece	Days	Revenue Calculation	YoY
FY2022A	21.5M	$11.00	255	21.5 × 11.00 × 255 = $60.3B	—
FY2023A	19.9M	$10.82	255	19.9 × 10.82 × 255 = $54.9B	**−9.0%**
FY2024A	20.1M	$10.92	255	**20.1 × 10.92 × 255 = $56.0B**	**+2.0%**
FY2025E	20.4M	$11.36	255	20.4 × 11.36 × 255 = $59.1B	**+5.6%**
FY2026E	21.0M	$11.87	255	21.0 × 11.87 × 255 = $63.6B	**+7.6%**

Rev/Piece Derivation (2024): 56,000 ÷ (20.1M × 255) = 56,000 ÷ 5,125.5 = **$10.92 ✓**

Segment as % of Total: 56,000 ÷ 91,070 = **61.5% ≈ 61% ✓** (U.S. Domestic Package share of UPS total revenue)



Appendix J— Top-Down Validation

Cross-checking bottom-up forecast ($59.1B) against three independent macro approaches

Target: **$59.1B**

01 Market Share

Total Market × Market Share

Calculation: $207B × 28.5%

Result

$59.0B

Gap vs $59.1B

<0.2%

UPS holds ~28.5% of the $207B U.S. parcel delivery market

MATCH

02 GDP Multiplier

GDP × Shipping Intensity

Calculation: $28.9T × 0.198%

Result

$57.2B

Gap vs $59.1B

$1.9B

Historical shipping/GDP ratio applied to 2025E nominal GDP

CLOSE

03 E-Commerce Capture

E-Com Spend × UPS Capture Rate

Calculation: $1,250B × 4.6%

Result

$57.5B

Gap vs $59.1B

$1.6B

UPS captures ~4.6% of total U.S. e-commerce GMV via delivery

CLOSE

Validation Summary: All three top-down methods converge within **3.3%** of the bottom-up estimate of **$59.1B.** Market Share provides the tightest confirmation (<0.2%), lending strong credibility to the forecast.

Method	Calculation	Result	Gap vs $59.1B	Confidence
Market Share	$207B × 28.5%	$59.0B	<0.2%	**HIGH ✓**
GDP Multiplier	$28.9T × 0.198%	$57.2B	$1.9B	**MEDIUM ~**

Appendix K - Formula Reference Sheet

21 Core Formulas · UPS vs FedEx Financial Analysis

6 Profitability & Returns

ROE = Net Income / Avg Equity	#1	*Shareholder return*
RNOA = Operating Income / Avg NOA	#2	*Pure operating performance*
OPM = Operating Income / Revenue	#3	*Pricing power + cost efficiency*
ATO = Revenue / Avg NOA	#4	*Asset efficiency*
RNOA = OPM × ATO	#5	*Identity check*
Gross Margin = Gross Profit / Revenue	#12	*Pricing after COGS*

3 Balance Sheet Structure

Net Debt = Total Liabilities − Common Equity	#6	*Financial obligation*
NOA = Total Assets − Cash	#7	*Operating asset base*
Avg X = $(X_t + X_{t-1}) / 2$	#8	*Applied to Equity & NOA*

4 Leverage & Financing

Op Funding Ratio = Avg NOA / Avg Equity	#9	*Leverage on ops*
Fin Leverage Ratio = Net Debt / Avg Equity	#10	*Debt leverage*
Transitory ROE = Total ROE − Recurring ROE	#11	*One-off impact*
Net Interest = Interest Income − Interest Expense	#13	*Financing cost*

4 Operating Performance

Segment Rev = Volume × Rev/Piece × Op Days	#14	*Bottom-up forecast*
Rev/Piece = Segment Rev / (Volume × Op Days)	#15	*Yield per package*
YoY Growth = $(Rev_t - Rev_{t-1}) / Rev_{t-1}$	#16	*Revenue change*
Pkgs/Aircraft/Day = Daily Pkgs / Fleet Size	#21	*Asset utilization*

4 Cost & Efficiency Metrics

COGS% = COGS / Revenue	#17	*Cost intensity*
Fuel Net Cost = Gallons × Price × (1 − Surcharge%)	#18	*Net fuel cost*
Labor Cost = Drivers × Wage × Hours × Benefits	#19	*Total labor cost*
CapEx% = CapEx / Revenue	#20	*Capital intensity*

Profitability & Returns · Balance Sheet Structure · Leverage & Financing · Operating Performance · Cost & Efficiency Metrics